Legacy Distribution Rider (U373)

(IL Unit Deduction Rider – Investment Linked Insurance Plan)

Plan Name	:	Legacy Distribution Rider
Plan Code	:	U373
Plan Abbreviation	:	LDR
Target Launch Date	:	19 June 2026

PLAN DESCRIPTIONS

a) Legacy Distribution Rider (LDR) is a rider that allows policyowner an option to convert the lump sum payment of the death benefit into various settlement option.

b) The rider has no sum assured and there will be no insurance charge will be deducted for this rider.

c) This rider that can be attached to the following basic plans:

Basic Plan & Plan Code	NB Stage	Inclusion of rider at CS Stage
Smart Legacy Global (SLG, 0565)	√	√
Smart Revive Max (SRM, 0562)	√	√

Any future plans that the Company may introduce from time to time. *(Note: Please refer to the Agency Manual of the basic plan on which this rider can be attached to.)*

d) This rider can be attached at any time.

SETTLEMENT OPTIONS

While the Life Assured is alive and the policy is in force, the policyowner can choose any of the following settlement option to the nominee(s).

1. Lump Sum Payout

- Upon death of the Life Assured, the proceeds under the policy will be payable in one lump sum to the nominee(s) based on the percentage of share stated in the settlement option form made by the policyowner.

2. Structured Installment Payout

- Upon death of the Life Assured, the proceeds under the policy will be payable to the nominee(s) based on the percentage of share stated in the settlement option form made by the policyowner.
- Payment Frequency:
  Yearly, Monthly, Quarterly or Half-Yearly
- Payment Tenure:
  - 2 to 40 years
  - Until designated nominee's age, subject to maximum payment tenure of 40 years
- Legacy Distribution Rider Account for unpaid death benefit:
  The unpaid balance of the death benefit will be retained in a LDR account with non-guaranteed interest. Interest may be accrued on the unpaid balance death benefit at a rate declared by the Company, which may vary from time to time. Such accrued interest, if any, shall be payable together with the final payout for each nominee.
- Minimum payout per transaction per nominee:

Payment Frequency	Minimum Payout Amount
Monthly	RM1,000
Quarterly	RM3,000
Half-Yearly	RM6,000
Yearly	RM12,000

If at the point of claim, the payout instalment amount is lower than the minimum payout amount, the instalment amount shall be adjusted to meet the minimum payout threshold.

Consequently, the total payout tenure may be shorter than the Payout Tenure specified by the policyowner.

3. Milestone-Based Payout

- After the death of the Life Assured, the proceeds under the policy will be payable in a lump sum to the nominee(s) based on the percentage of share stated in the settlement option form made by the policyowner upon nominee completed specific Milestone Event(s).
- Payment Tenure:
  - 2 to 40 years
  - Until designated nominee's age, subject to maximum payment tenure of 40 years
- Legacy Distribution Rider Account for unpaid death benefit:
  The unpaid balance of the death benefit will be retained in a LDR account with non-guaranteed. Interest may be accrued on the unpaid balance death benefit at a rate declared by the Company, which may vary from time to time. Such accrued interest, if any, shall be payable together with the final payout for each nominee.
- Option to choose up to maximum of 3 Milestone Events from the following Milestone Events list:
  a) Admission to university or college
  b) Graduated university or college
  c) Getting married
  d) Wedding anniversary - Maximum up to 3 wedding anniversary (1 wedding anniversary date is considered as 1 event)
  e) Giving birth - Maximum up to 3 children (1 child is considered as 1 event)
  f) Owning a property
  g) Starting a business
  h) Attaining a designated age - Maximum up to 3 designated age (1 designated age is considered as 1 event)
  i) Retirement (follow Malaysia statutory retirement age)
  j) Privilege Access
- Policyowner is allowed to attach a message for each Milestone Event.
- Each event is only claimable once.
- Claim for each Milestone Event must be supported by relevant documents and information as may be prescribed or requested by us for the purpose of evaluating the claim, except for "Privilege Access", which does not require supporting documents.
- In the event any of the nominee(s) fails to complete any of the Milestone Event(s), the amount payable for that Milestone Event is payable at the end of the Payment Tenure.

TERMS & CONDITIONS

1. The policyowner may select any one or a combination of two to three of the settlement options for each respective nominee. Regardless of the selection, the combined total of the selected settlement options shall be equivalent to 100 % of the death benefit.

   Example:
   A policyholder purchased Smart Legacy Global (0565) with BSA of RM3 million and appointed 3 nominees as below. He selected a combination of 3 settlement options to the nominees with total allocation of 100%, as per stated in table below.

Nominee	% of Share under Nomination	Settlement Options Chosen	% of Share	Payment Tenure	Frequency
Nominee A	30%	Lump Sum Payout	30%	N/A	N/A
Nominee B	40%	Structured Installment Payout	10%	20 years	Yearly

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		Milestone-Based Payout 1) Getting married 2) Giving birth 3) Starting a business	 10% 10% 10%	20 years	N/A
Nominee C	30%	Milestone-Based Payout 1) Admission to university or college 2) Owning a property 3) Privilege Access	 15% 10% 5%	30 years	N/A
Total	**100%**		**100%**		

2. Settlement option is not applicable to the bereavement benefit, if any.
3. Application for settlement option is not allowed if the policy is assigned.
4. The Payment Tenure for Structured Installment Payout and Milestone-Based Payout shall be the same for the same nominee, if both settlement options are opted.
5. If settlement option is elected, it shall be revoked if any of the following occurs subsequently:
   - The policy is assigned;
   - The policy is novated;
   - Change or amendment of nominee(s) is submitted to the Company;
   - The settlement option is revoked by policyowner;
   - There is false information provided or false declaration made during the application for settlement option;
   - If the death benefit payable upon death after minus indebtedness is less than RM300,000. The proceeds payable under the policy shall be payable in one lump sum to the nominee(s) based on the percentage of share stated in the nomination made by the policyowner; or
   - The policy is voided or terminated in any manner.
6. The instalments will end once the full amount of the death benefit is paid or the designated maximum period of instalments is reached, whichever is earlier.
7. If the nominee has exceeded the designated age selected by the policyowner upon the death of the Life Assured under Structured Instalment Payout and Milestone-Based Payout, the proceeds under the policy shall be payable in one lump sum to the nominee based on the percentage of share stated in the settlement option form made by the policyowner.
8. If the nominee dies before the completion of Payment Tenure specified under Structured Installment Payout and/or Milestone-Based Payout, any balance of the death benefit plus accrued interest for the deceased nominee shall be payable in one lump sum to the deceased nominee's estate under trust policy and to the deceased policyowner's estate under non-trust policy.
9. Upon notification of a death claim, the Company will require the updated personal information, bank account details and a copy of the identity document of the nominee(s) to facilitate the disbursement of policy proceeds in accordance with the selected settlement options.

UNDERWRITING

Minimum/Maximum Sum Assured
Not applicable

Min/Max Age at Entry
Not applicable

Premium Payment Term
Not applicable

Minimum/Maximum Rider Term
Follow basic plan coverage term

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Backdating
Not allowed

Increase / Decrease in Sum Assured
Not applicable

Female Rate / Non-Medical Limits / Large Sum Discount / Female Discount / Non-Smoker Discount
Not applicable

INSURANCE CHARGES

Nil

OTHER PRODUCT FEATURES

Bonus Rate / Policy Loan / Automatic Policy Loan / Paid Up Value / Extended Term Assurance / Surrender Values / Agency Compensation
Not Applicable

OTHER PRIVILEGES

1. **Assignment / Third Party Policy**
   Not allowed.

2. **Conversion Privilege / Option to purchase new Policy**
   Not applicable

3. **Free-look Period**
   Follow basic plan.

4. **Reinstatement**
   Follow basic plan.

5. **Inclusion at CS stage**
   Allowed.

EXCLUSIONS

Nil